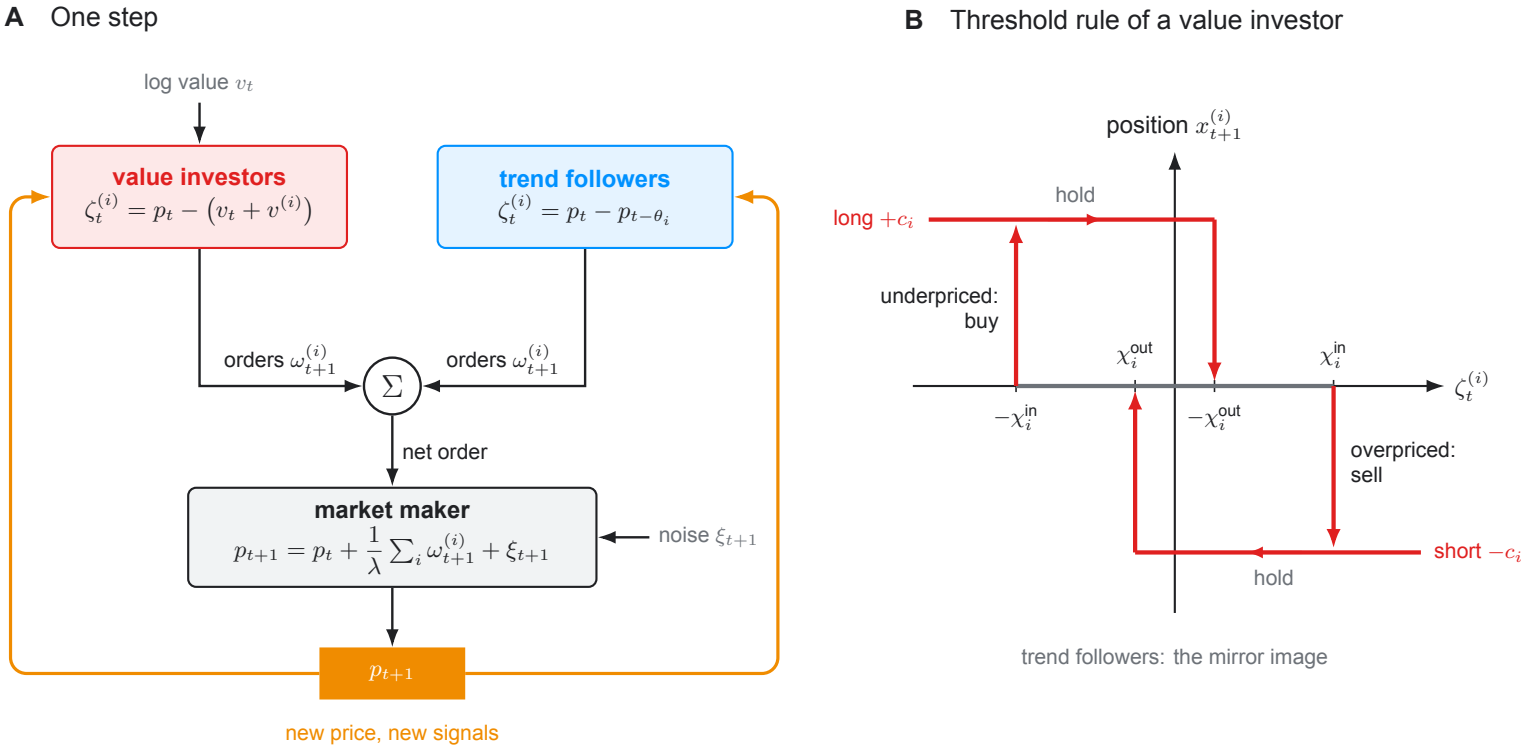
A One step
log value v_t
value investors
$\zeta_t^{(i)} = p_t - (v_t + v^{(i)})$
trend followers
$\zeta_t^{(i)} = p_t - p_{t-\theta_i}$
orders $\omega_{t+1}^{(i)}$
orders $\omega_{t+1}^{(i)}$
Σ
net order
market maker
$p_{t+1} = p_t + \frac{1}{\lambda}\sum_i \omega_{t+1}^{(i)} + \xi_{t+1}$
noise ξ_{t+1}
p_{t+1}
new price, new signals
B Threshold rule of a value investor
position $x_{t+1}^{(i)}$
hold
long $+c_i$
underpriced:
buy
χ_i^{out}
χ_i^{in}
$\zeta_t^{(i)}$
$-\chi_i^{\text{in}}$
$-\chi_i^{\text{out}}$
overpriced:
sell
short $-c_i$
hold
trend followers: the mirror image